
UNIT 14 REGIONAL TRADING AGREEMENTS*

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14.0 OBJECTIVES

After studying this Unit, you should be able to:

- explain the concept of regional trading agreements;
- enlist the basic characteristics of a regional trading agreement;
- explain the different types of regional trading agreements depending on the degree of economic cooperation;
- describe the evolution of regional trading agreements in the world;
- discuss and analyze the various gains countries have after forming/joining a regional trading agreement; and
- justify why regional trading agreements change over time.

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14.1 INTRODUCTION

In this unit we will discuss about Regional Trading Agreements (RTAs). RTAs are reciprocal agreements between two or more countries (or trading partners). Hence, one can easily understand that RTAs can be either bilateral (two members) or multilateral (more than two members). The member countries of an RTA may or may not belong to the same geographical neighbourhood.

In this unit we shall first discuss the basic characteristics of RTAs. Next, we will discuss the different types of RTAs depending on the degree of economic cooperation among the member countries. The next section will briefly discuss the evolution of RTAs in the world economic system. After that we will spend some time understanding the reasons for which countries form RTAs – that is, the gains that the member countries experience due to formation of an RTA among them. The last section would provide a brief discussion on the equilibrium structure of an RTA.

14.2 BASIC CHARACTERISTICS OF REGIONAL TRADING AGREEMENTS

Since 1990s, there has been an unprecedented proliferation of RTAs being reported to the World Trade Organization (WTO). As in March, 2018, there are 304 RTAs being reported in the WTO of which only 53 were in force before 1993. The RTAs in the world trading system consist of a motley assortment of bilateral and multilateral trade agreements. Further, such proliferation of RTAs has been going on simultaneously with the WTO rounds of multilateral negotiations as discussed in the previous unit. However, this might appear counter-intuitive. The primary objective of RTAs is freer trade among member countries coupled with unified trade policies vis-à-vis non-member. Thus, RTAs exhibit a mix of cooperation among members and discrimination against non-members. This directly conflicts with the WTO's ultimate goal of global free trade.

Economic integration is the process of reduction or abolition of tariff and non-tariff trade barriers coupled with unified economic policies, particularly, trade policies. As discussed earlier, RTAs are reciprocal agreements between two or more trading partners that determine the extent of economic integration between the member countries. Thus, RTAs are discriminatory in nature in that member countries of an RTA reduce or eliminate tariff and non-tariff barriers for trade between the member countries but not for countries that are not members of the RTA. Now, the WTO is committed to the goal of global free trade and to the principle of non-discrimination among the WTO member countries. Any WTO signatory country cannot impose higher tariffs for one WTO member country while reducing the same for another. However, RTAs are exception to this principle. Interestingly, all WTO signatories are members of at least one RTA.

This has led to many overlapping memberships, resulting in a “spaghetti bowl” of bilateral and multilateral trade agreements. For example, India has bilateral agreements with Malaysia, Singapore and Thailand while having a separate agreement with the ASEAN.

14.3 TYPES OF REGIONAL TRADING AGREEMENTS

In this section we will first describe the different types of RTAs depending on the degree of economic cooperation among the member countries of an RTA. Jacob Viner (1950) conceived five stages of economic cooperation among member countries. One must note that these stages indicate successively higher degrees of economic cooperation.

14.3.1 Preferential Trading Arrangements

The lowest form of economic cooperation is a Preferential Trading Arrangement (PTA). The members of a PTA lower their respective tariff rates and other non-tariff barriers on their mutual trade. However, the member countries keep the import tariffs and other non-tariff barriers vis-à-vis non-member countries. India has PTAs with Afghanistan, Chile, Nepal and Thailand.

Sometimes the member countries altogether abolish the import tariffs and non-tariff barriers but on a subset of commodities and not on all goods traded among them. This is known as Partial Scope Agreement (PSA). The Belize-Guatemala PSA covers only 150 specified commodities.

PTA is the weakest form of economic cooperation among countries. The member countries take their trade policies vis-à-vis non-member countries unilaterally.

14.3.2 Free Trade Area

The next higher stage of economic cooperation is a Free Trade Area (FTA). The member countries of an FTA remove all tariffs and non-tariff barriers on imports from each other. Each member country retains its independence in establishing trading policies with non-members. In other words, the members of an FTA can maintain individual tariffs and other non-tariff barriers on the rest of the world. This arrangement is usually assumed to apply to all products between member countries, but it can sometime involve a mix of free trade in some goods and preferential, but still protected, treatment in other goods with the idea of abolishing the remaining trade barriers over time.

The most prominent FTAs in the world are the North American Free Trade Area (NAFTA) formed between Canada, Mexico and the USA in 1994 and the Association of South East Asian Nations (ASEAN) formed between Indonesia, Malaysia, the Philippines, Singapore and Thailand on 8th August, 1967 followed by accession of Brunei, Cambodia, Laos, Myanmar and Vietnam between 1984

and 1999. India has FTAs with ASEAN, Bhutan, Japan, Malaysia, SAFTA, Singapore, South Korea and Sri Lanka.

One interesting issue that can arise in the presence of FTAs is that of transshipment. When each member country sets its own external tariff, non-member countries may find it profitable to export a product to the member country with the lowest level of outside protection and then through it to other member countries whose protection levels against the outside world are higher. But without rules of origin by members regarding the source country of a product, there is nothing to preclude non-member countries from using this transshipment strategy to escape some of the trade restrictions in the more highly protected member countries. This has led to formation of FTAs containing rules of origin clauses. Rules of Origin (RoO) are used to determine the country from where a product has originated. There are two types of RoO – preferential and non-preferential. The exact rules vary from country to country and RTA to RTA.

A recent development in FTA is the introduction of Economic Integration Area (EIA) which covers FTAs in Services. Members of the WTO signed General Agreement on Trade in Services (GATS) in 1995, covering the rules for trading in services. FTAs in services allow for lower barriers and agreements on trade in services. India signed an EIA with the ASEAN in 2010.

14.3.3 Customs Union

The third stage of economic cooperation is Customs Union (CU). Apart from free trade among member countries, the members of a Customs Union adopt a common external trade policy toward non-members including, but not limited to, a common external tariff (CET) vis-à-vis the rest of the world. The CET is set either through joint welfare maximization or through delegation. The member nations give up independence in setting national welfare maximizing unilateral tariffs or non-tariff barriers. The group acts as one body in the negotiation of all trade agreements with non-members. Thus, the problem of transshipment, as discussed earlier, does not arise in case of a Customs Union.

BENELUX, established in 1958, is the first CU in the world formed between Belgium, Netherlands and Luxembourg. Recent examples of CUs are the East African Community (EAC) formed between Burundi, Kenya, Rwanda, Tanzania and Uganda in 2000; the Eurasian Economic Union (EAEU) formed between Armenia, Belarus, Kazakhstan, Kyrgyz Republic and the Russian Federation in 2015 and the Gulf Cooperation Council (GCC) formed between Bahrain, Kingdom of Kuwait, the State of Oman, Qatar, Saudi Arabia, and the United Arab Emirates in 2003.

14.3.4 Common Market

The next stage of economic cooperation is Common Market. In this stage apart from free trade of goods among member countries, the countries allow for free movement of factors of production among the members. At this stage the member states move from free trade in goods to free factor trade.

Most prominent examples of Common Markets are Southern Common Market (MERCOSUR) formed between Argentina, Brazil, Paraguay and Uruguay in 1991; Caribbean Community and Common Market (CARICOM) formed between Antigua and Barbuda, Bahamas, Barbados, Belize, Dominica, Grenada, Guyana, Haiti, Jamaica, Montserrat, Saint Kitts and Nevis, Saint Lucia, Saint Vincent and the Grenadines, Suriname and Trinidad and Tobago in 1973 and Common Market for Eastern and Southern Africa (COMESA) formed between Angola, Burundi, Comoros, Egypt, Eritrea, Ethiopia, Kenya, Lesotho, Malawi, Mauritius, Rwanda, Sudan, Swaziland, Tanzania, Uganda, Zambia and Zimbabwe in 1994.

14.3.5 Economic and Monetary Union

The ultimate stage of economic cooperation is an Economic and Monetary Union (EMU). At this stage of economic cooperation, the member countries unify their monetary and fiscal policies. Hence, the degree of economic cooperation moves beyond the domain of international trade and transcends into domestic policy making. These members may or may not have a common currency. The first ever EMU was formed in 1921 between Belgium and Luxembourg. In the present world the most celebrated example of EMU is the European Union (EU) that launched the common currency Euro among the 15 members on 1st January, 1999. Currently 19 out of 28 EU members use Euro as their common currency creating the Eurozone. While separate political entities are still present, an EMU generally establishes several supranational institutions whose decisions are binding upon all members. While this level of economic integration is often aspired to, member countries find it extraordinarily difficult to give up the domestic sovereignty the scheme requires. Giving up autonomy in monetary policy is also a concern.

Check Your Progress 1

Note: i) Use the space given below for your answers.

ii) Check your progress with those answers given at the end of the unit.

1) What are the characteristics of Regional Trading Agreements?

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2) Enlist various types of RTAs.

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3) Briefly discuss the Free Trade Area as one of the stages of economic cooperation.

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14.4 A BRIEF HISTORY OF EVOLUTION OF REGIONAL TRADING AGREEMENTS

In this section, we will briefly discuss the evolution of RTAs. The post-World War regionalism can be divided into two distinct phases. The first phase began in the late 1950s and continued till the 1970s. The second phase began with the wave of globalization in the 1990s. As discussed earlier, only 53 out of present day 304 RTAs were in force till 1993.

First Phase: One can assume the beginning of the first phase of regionalism with the formation of the European Coal and Steel Community when the Treaty of Paris was signed by Belgium, France, West Germany, Italy, Luxembourg, and the Netherlands in 1951 followed by the signing of the Treaty of Rome in 1957 leading to the formation of the European Economic Community (EEC) and the European Atomic Energy Commission (Euratom). Thus, the beginning of this phase of regionalism had its root in Europe's push for continental integration. The ultimate objective was the formation “of an integrated market for the free movement of goods, services, capital, and people. The EEC was eventually transformed into the European Union with the Maastricht Treaty in 1993. In 2004, the EU gave accession to Cyprus, the Czech Republic, Estonia, Hungary, Latvia, Lithuania, Malta, Poland, Slovakia and Slovenia. Following the ECC example, The East African countries of Kenya, Tanzania, and Uganda established the East African Community (EAC) in 1967. The first wave of regionalism was characterized by increase in economic cooperation. National welfare conditions were the most dominant force for regionalism. However, the regionalism in the second phase was driven by economic reasons other than national welfare.

Second Phase: This phase of regionalism started in the late 1980s. Only 53 RTAs were in force till 1993. This number shot up 230 by the end of 2003. This second phase of regionalism has been identified as “Contemporary Regionalism” (Ethier, 2011) as compared to “Traditional Regionalism” of the first phase. In fact, the type of regionalism in the second phase signifies deeper integration. As

Ethier (2011) points out, the trading pattern in this period can be distinguished from the previous period in the following ways –

- 1) Multilateral liberalization of trade in manufactured goods among industrial nations is more complete than it was.
- 2) A large number of small countries have abandoned their anti-market, closed economies policies and adopted reforms that will permit them to join the multilateral trading system.
- 3) Foreign Direct Investment (FDI) is more prominent than it was in the first phase, with small countries undertaking reforms competing for it.
- 4) There is now much more fragmentation in the production process with different stages of production taking place in different countries, i.e., the world is now much more globalized.

Unlike gains from trade through RTA formation in the first phase, the production gains through FDI and modular production was given higher emphasis in the second phase of regionalism. Ethier (2011) argues that this type of regionalism involves one or more small countries competing with each other in terms of reforms to link up with a large country. A small country undertakes reforms and liberalizes its trade regime whereas modifications by the larger partner are modest. Further, the loss of staying outside an RTA became a significant factor during this phase of regionalism. RTAs now involve not just reduction of tariffs or non-tariff barriers; but also aim at a greater harmonization of broader economic policies. Thus this period witnessed a number of countries, predominantly the developing one, liberalizing unilaterally. India's unilateral liberalization in 1991 is a classic example. Traditionally, RTAs covered tariff liberalization and rules related to standard, quality and rules of origin only. However, in the recent times RTAs have moved to include liberalization of services' trade, investments, intellectual property rights etc.

14.5 GAINS FROM REGIONAL TRADING AGREEMENTS

The gains cannot occur if a country unilaterally reduces tariffs. A country is better off by reducing/abolishing import tariffs and other non-tariff barriers only when the trading partner reciprocates. Gains through forming or joining an RTA are materialized as that ensures a mutual reduction in tariffs and reciprocal market access.

14.5.1 Static Gains

Now, gains from forming an RTA can be static (immediate) or dynamic (over time). Under "Traditional Regionalism" as propounded by Viner (1950), there are primarily three types of static gains.

Trade Creation: Trade creation is the outcome of economic integration that leads to shifting a product's origin from an inefficient domestic producer to an efficient producer located in a member country of the RTA. In other words, a member country will import the goods produced more efficiently in another country. This releases scarce resources in the domestic economy which are reallocated to the production of goods in which the domestic country has comparative advantage.

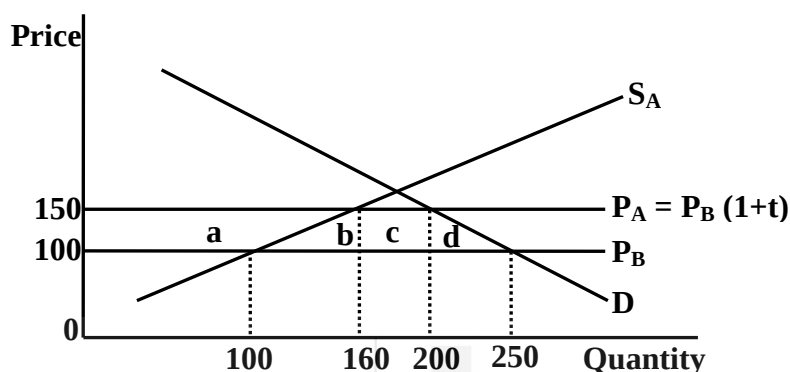


Figure 14.1: Trade Creation

Assume two countries (A and B) forming an RTA between them. Before the economic integration, the price of the good in country A is Rs.150 (Rs. 100 in country B plus the 50% tariff). With integration between A and B, the tariff is removed, and A now imports 150 units (250 - 100) rather than 40 units (200 - 160) from B. 60 units (160 - 100) of the increased imports displace previous home production, and 50 units (250 - 200) reflect the greater consumption at the new Rs. 100 price facing country A's consumers. The net welfare impact is the sum of the triangles "b" and "d", or Rs. $\left[\left(\frac{1}{2} \times 60 \times 50\right) + \left(\frac{1}{2} \times 50 \times 50\right)\right] = \text{Rs. } 2750$. Hence, the result is unambiguously positive. Trade creation results in gains through comparative advantage.

Trade Diversion: Trade diversion happens when the origin of production is shifted from an efficient non-member country to an inefficient member country. The welfare effect of trade diversion is ambiguous. The inefficient exporting member country gains for sure. However, the importing member country's welfare change is ambiguous. Here, we will present a case where the welfare change of the importing member actually decreases.

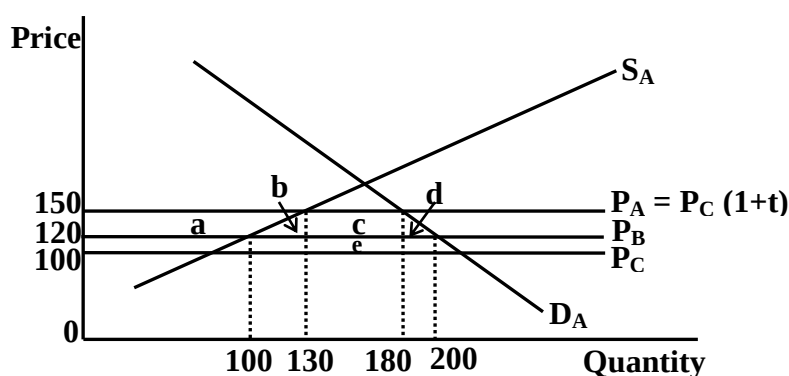


Fig 14.2: Trade Diversion

Assume that two countries (A and B) form an RTA between them. Before the formation of the RTA, A used to impose 50% tariff on its imports. The tariff inclusive price of A's imports from another country C was Rs. 150 and A used to import 50 units ($180 - 130$) from C. The tariff inclusive price of B's exports to A was Rs. 180 per unit (not shown). Now, after forming an RTA with B, A stops imposing tariff on imports from B but continues to impose tariff on imports from C. Hence, the price at which B exports to A (without tariff) is Rs. 120. At this price A imports 100 units ($200 - 100$) from B. A's welfare increases by the triangles "b" and "d" (due to lower prices of imports) and decreases by the rectangle "e" (loss of tariff revenue as A charges no tariff now). Hence, net change in welfare of A is $= [(b + d) - e] = \text{Rs. } [(\frac{1}{2} \times 30 \times 30) + (\frac{1}{2} \times 20 \times 30) - (50 \times 20)] = -\text{Rs. } 250$.

Reduction in Smuggling: Another immediate gain that countries forming an RTA would experience is reduction in illegal trade (smuggling). Let's assume that two countries (A and B) form an RTA. Before the formation of the RTA, A used to impose an import tariff of say 50% on its imports from B. Suppose the price of commodity was Rs. 100 in B and, with tariff, Rs. 150 in A. This differences in the price of the same good in two countries can generate illegal trade (smuggling) where any person can buy the good at Rs. 100 per unit in B and illegally sale that good at any price less than Rs. 150 in A (suppose Rs. 135) and making a profit of Rs. 15 per unit by smuggling. Once, A and B form an RTA, the tariff would disappear and the commodity would cost Rs. 100 in both countries. Thus, the possibility of smuggling vanishes.

14.5.2 Dynamic Gains

Apart from these above-mentioned static gains from formation of RTAs, there are several dynamic gains. These gains are not realized immediately, but these gains accrue to the member countries over time. Some of these gains are discussed below –

The establishment of RTAs creates a competitive environment and reduces monopoly powers that might exist before. The export sector can enjoy **economies of scale**. This might happen due to two reasons. First, as RTAs are formed, tariffs are reduced/ abolished. This enables efficient producers located in other member countries to export and the domestic country reallocates its resources to its own export sector and that sector expands. Second, economies of scale might also occur due to lowering of the prices of intermediate goods required for production and thus reducing the marginal cost of production. After an RTA is formed, all the member countries get enlarged market for their produces. Larger markets lead to larger scale production through division of labour which in turn raises **productivity** of labourers. Economic integration reduces transportation and transaction costs. This leads to efficient relocation of resources enhancing **agglomeration** effects. **Environmental** issues can also be tackled more efficiently through formation of RTAs. For example, one country may offer